

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease") dated July 15, 2024, is between **CENTRAL OHIO DEVELOPMENT CORPORATION**, an Ohio corporation ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

WITNESSETH

WHEREAS, Landlord owns Central Plaza Shopping Center, a power center containing 287,000 square feet in Columbus, Ohio; and

WHEREAS, Tenant desires to lease approximately 39,000 square feet for operation of a supercenter format store; and

WHEREAS, this location represents Tenant's flagship store in the Columbus market;

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree as follows:

ARTICLE 1 - DEFINITIONS AND BASIC TERMS

1.1 Defined Terms

- **Premises:** 39,000 rentable square feet shown on **Exhibit A-1** and **A-2**
- **Building:** The freestanding structure containing the Premises
- **Shopping Center:** Central Plaza Shopping Center
- **Store ID:** S005
- **Address:** 888 Center Boulevard, Columbus, OH 43215
- **Commencement Date:** August 3, 2024
- **Rent Commencement Date:** November 1, 2024 (3-month rent abatement)
- **Expiration Date:** August 2, 2031
- **Term:** Seven (7) years
- **Base Year:** 2024 for Operating Expenses and Taxes
- **Tenant's Share:** 13.59% ($39,000 \div 287,000$)

1.2 Base Rent Schedule

Lease Year	Period	Monthly Base Rent	Annual PSF
Year 1*	8/3/24 - 7/31/25	\$65,000.00	\$20.00
Year 2	8/1/25 - 7/31/26	\$66,950.00	\$20.60
Year 3	8/1/26 - 7/31/27	\$68,959.00	\$21.22
Year 4	8/1/27 - 7/31/28	\$71,027.00	\$21.85
Year 5	8/1/28 - 7/31/29	\$73,158.00	\$22.51
Year 6	8/1/29 - 7/31/30	\$75,353.00	\$23.19
Year 7	8/1/30 - 8/2/31	\$77,613.00	\$23.88

*First 3 months abated

ARTICLE 2 - PREMISES AND TERM

2.1 Grant of Lease

Landlord leases to Tenant the Premises, including:

- Exclusive loading dock area
- Designated transformer pad
- Rights to use Common Areas
- Non-exclusive customer parking
- Access to all Shopping Center amenities

2.2 Term

Seven (7) year term commencing on the Commencement Date. Early access granted July 1, 2024 for fixturing.

2.3 Renewal Options

Three (3) successive options of five (5) years each:

- **Option Rent:** Greater of (a) 102.5% of prior term rent or (b) FMV
- **Notice:** 12 months prior to expiration
- **FMV Process:** Broker determination with arbitration backstop

2.4 Condition of Premises

Delivered in "warm vanilla shell" condition per **Exhibit B:**

- Concrete floors sealed and level

- Demising walls to deck
- Electrical: 2000-amp service installed
- Plumbing: Stubbed to Premises
- HVAC: Eight (8) new rooftop units installed
- Storefront: Installed per Tenant specifications
- Loading: Two dock-high doors, one grade-level

ARTICLE 3 - RENT AND ADDITIONAL CHARGES

3.1 Base Rent

Payable monthly in advance per schedule. First month and security deposit due at signing.

3.2 Operating Expenses

Tenant pays Tenant's Share of Operating Expenses exceeding Base Year amount (\$1,147,000), including:

- CAM and Common Area utilities
- Property management (3% cap)
- Insurance premiums
- Security services
- Administrative (5% cap on controllable expenses)
- Capital improvements (amortized per GAAP)

3.3 Real Estate Taxes

Tenant pays Tenant's Share of Taxes exceeding Base Year (\$743,000). Tenant may protest taxes at its expense.

3.4 Gross Sales Reporting

Not required unless Percentage Rent added in renewal term.

3.5 Expense Reconciliation

- Monthly estimates based on budget
- Annual reconciliation within 120 days
- Tenant audit rights with 60 days' notice
- Overcharge >5% requires Landlord to pay audit costs

3.6 Utilities

All separately metered and paid directly by Tenant:

- Electric (2000-amp 480V 3-phase service)
- Gas (2" service line)
- Water/Sewer (separate meters)
- Refuse (exclusive compactor)

ARTICLE 4 - USE AND OPERATION

4.1 Permitted Use

Operation of a Skyline Stores Supercenter including:

- General merchandise retail
- Full grocery department
- Pharmacy (drive-through permitted)
- Optical center
- Financial services center
- Garden center (outdoor display permitted)
- E-commerce fulfillment

4.2 Prohibited Uses

- Tire/lube center (unless in enclosed bay)
- Gas station
- Used merchandise
- Auction house
- Adult entertainment

4.3 Exclusive Rights

Grocery Exclusive: No other tenant >10,000 SF may devote >20% of space to grocery **Pharmacy**

Exclusive: No other pharmacy except in medical buildings **General Merchandise:** No other general merchandise retailer >25,000 SF

4.4 Operating Covenant

- **Minimum Hours:** 7 AM - 11 PM daily

- **Required Opening:** Within 180 days of Commencement
- **Continuous Operation:** No dark periods except remodeling (60 days max)
- **Penalty for Going Dark:** Additional Rent of \$10,000/month

4.5 Radius Restriction

No competing Skyline Stores within 3 miles for first 5 years.

ARTICLE 5 - CONSTRUCTION AND ALTERATIONS

5.1 Initial Buildout

- **TI Allowance:** \$1,170,000 (\$30 PSF)
- **Disbursement:** Progress payments with 10% retainage
- **Deadline:** Substantially complete within 180 days
- **Coordination:** Weekly construction meetings required

5.2 Future Alterations

- **Non-Structural <\$100,000:** Notice only
- **Structural or >\$100,000:** Prior written consent
- **Emergency Repairs:** Immediate notice post-repair
- **Compliance:** All work per code and ADA

5.3 Trade Fixtures

Tenant may install/remove trade fixtures that don't damage structure. Restoration required upon removal.

5.4 End of Term

Remove fixtures, repair damage, leave broom-clean. Improvements constructed with TI Allowance remain.

ARTICLE 6 - MAINTENANCE, REPAIRS AND SERVICES

6.1 Tenant's Maintenance

- Interior of Premises (all components)
- Storefront glass and doors
- Interior utilities and plumbing
- Pest control within Premises
- Daily cleaning and janitorial

- Grease trap maintenance

6.2 Landlord's Maintenance

- Roof and structure
- Parking lot and Common Areas
- **All HVAC units (maintenance and replacement)**
- Exterior walls and foundation
- Storm drainage systems
- Common Area lighting

6.3 HVAC Service Standards

LANDLORD'S HVAC OBLIGATIONS:

- Maintain eight (8) Carrier 15-ton units
- Quarterly preventive maintenance
- 4-hour emergency response time
- Replace units at end of useful life
- Maintain 72°F ± 4° during business hours
- All costs included in Operating Expenses

6.4 Service Interruptions

No liability for interruptions beyond reasonable control. Rent abates after 5 consecutive days of material service failure.

6.5 Trash Removal

Tenant has exclusive use of one compactor. Service costs paid directly by Tenant.

ARTICLE 7 - INSURANCE AND INDEMNITY

7.1 Tenant's Insurance Requirements

Coverage Type	Minimum Limits
General Liability	\$5,000,000 per occurrence
Property/Casualty	Replacement cost value
Business Interruption	18 months rent + expenses
Auto Liability	\$2,000,000 combined
Workers' Compensation	Statutory
Umbrella/Excess	\$25,000,000
Cyber Liability	\$5,000,000

7.2 Policy Provisions

- Landlord as additional insured
- Waiver of subrogation
- Primary and non-contributory
- A- or better rated carriers
- 30-day cancellation notice

7.3 Landlord's Insurance

Property insurance on Shopping Center and commercial general liability. Cost included in Operating Expenses.

7.4 Mutual Indemnification

Each party indemnifies the other for its negligence, except:

- No consequential damages
- No lost profits claims
- Waiver of subrogation applies

7.5 Tenant Indemnity Scope

Includes customers, employees, contractors, delivery personnel, and all operations within Premises.

ARTICLE 8 - DAMAGE AND DESTRUCTION

8.1 Casualty Matrix

Damage Level	Repair Time	Landlord Option	Tenant Option
<30% Premises	<180 days	Must repair	Rent abates
30-50% Premises	<270 days	May terminate	May terminate
>50% Premises	Any	May terminate	May terminate
Last 2 years	>90 days	May terminate	May terminate

8.2 Shopping Center Damage

If >40% of Center damaged, Landlord may terminate even if Premises undamaged.

8.3 Insurance Proceeds

- Landlord rebuilds shell and Landlord improvements
- Tenant rebuilds its improvements beyond TI work
- Rent abates proportionately during restoration

8.4 Waiver of Statutory Rights

Parties waive Ohio Revised Code termination rights in favor of Lease provisions.

ARTICLE 9 - CONDEMNATION

9.1 Total Taking

Lease terminates on taking date. Rent prorated.

9.2 Partial Taking

- **>25% of Premises:** Tenant may terminate
- **>50% of parking:** Tenant may terminate
- **<25% and parking intact:** Lease continues with equitable adjustment

9.3 Awards

Landlord receives all awards except Tenant may claim:

- Trade fixtures value
- Moving/relocation expenses
- Business interruption/loss

ARTICLE 10 - ASSIGNMENT AND SUBLETTING

10.1 Consent Rights

No Transfer without Landlord consent (not unreasonably withheld). Response required within 20 business days.

10.2 Permitted Transfers

No consent for transfers to:

- Affiliates with equal/greater net worth
- Successor by merger where Tenant survives
- Purchaser of all/substantially all assets
- Public company with investment grade credit

10.3 Assignment Standards

Landlord may consider:

- Financial strength (3x rent coverage)
- Retail experience
- Use consistency
- Shopping Center synergy

10.4 Recapture

Landlord may recapture for proposed assignment of entire Premises for >50% of remaining Term.

10.5 Profit Split

Excess rent split 50/50 after Tenant's documented costs (legal, broker, improvements).

10.6 Continuing Liability

Original Tenant remains primarily liable through Term regardless of consent.

ARTICLE 11 - DEFAULTS AND REMEDIES

11.1 Tenant Defaults

- **Monetary:** 5 days after written notice
- **Non-monetary:** 30 days after notice (or commence if more time needed)
- **Chronic:** 3 monetary defaults in 12 months
- **Automatic:** Bankruptcy, abandonment, assignment for creditors

11.2 Landlord's Remedies

- Termination with damages
- Possession only with mitigation duty
- Acceleration (6 months maximum)
- Specific performance
- Cumulative remedies

11.3 Landlord Defaults

Failure to perform for 30 days after notice (or commence cure).

11.4 Tenant's Remedies

- Cure and offset reasonable costs
- Specific performance
- Actual damages (no consequential)
- Rent abatement for material breaches

11.5 Mitigation

Landlord must use reasonable efforts but may prioritize other vacancies and reject below-market offers.

11.6 Late Charges

5% of overdue amount plus Prime + 3% interest. Grace period of 5 days.

11.7 Attorneys' Fees

Prevailing party recovers reasonable attorneys' fees in any action.

ARTICLE 12 - SPECIAL PROVISIONS

12.1 Co-Tenancy Requirements

Opening: 70% of Center leased and open **Operating:** If <60% occupied for 6+ months:

- Rent reduced to 70% of Base Rent only
- After 12 months, Tenant may terminate
- Excludes temporary closures and remodeling

12.2 Environmental

- **Phase I:** Clean Phase I delivered
- **Tenant Compliance:** No hazardous materials except consumer products
- **Indemnity:** Each party for its activities
- **Tanks:** No underground storage tanks

12.3 Parking

- **Ratio:** 5.5 spaces per 1,000 SF (215 spaces)
- **Employee:** 40 designated spaces in rear
- **Customer:** Non-exclusive use of all front/side parking
- **Maintenance:** Landlord maintains, Tenant contributes through CAM

12.4 Signage Package

- **Building:** Two wall signs up to 300 SF each
- **Pylon:** Top position on both highway pylons
- **Monument:** Lead position at each entrance
- **Directional:** As reasonably needed
- **Criteria:** Per **Exhibit D** standards

12.5 SNDA

Landlord shall obtain SNDA from current lender (First National Bank of Columbus) within 90 days.

12.6 Expansion Rights

ROFO on adjacent 15,000 SF space currently occupied by SportsMart (Lease expires 2027). Terms at FMV.

12.7 Termination Option

One-time right to terminate effective Year 5 anniversary:

- 12 months' prior notice
- Payment of unamortized TI (\$390,000)
- Payment of 6 months' rent as penalty
- No default at notice or termination

12.8 Outparcel Rights

ROFO on Outparcel B (1.5 acres) for ground lease at FMV for permitted uses.

ARTICLE 13 - GENERAL PROVISIONS

13.1 Notices

Landlord: Central Ohio Development Corporation 50 W. Broad Street, Suite 1500 Columbus, OH 43215
Attn: Asset Management

Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Email: re-legal@skylinestores.com

13.2 Estoppel Certificates

Due within 10 business days. Form attached as **Exhibit E**.

13.3 Financial Statements

Annual audited statements within 120 days of FYE. Confidential treatment.

13.4 Memorandum of Lease

Tenant may record the attached short form (**Exhibit F**).

13.5 Force Majeure

Excuses non-monetary obligations. Notice within 5 days. Includes pandemic/government orders.

13.6 Governing Law

Ohio law. Venue in Franklin County. Jury trial waived.

13.7 Brokers

Landlord pays CBRE (Landlord) and JLL (Tenant) per separate agreements.

13.8 Guaranty

Guaranteed by Skyline Stores Holdings, Inc. per **Exhibit G**.

13.9 Entire Agreement

Supersedes all prior agreements. Amendments in writing only.

13.10 Counterparts/Electronic

May execute in counterparts. Electronic signatures valid.

13.11 Authority

Each signatory warrants full authority to bind their party.

13.12 Quiet Enjoyment

Tenant shall have quiet enjoyment subject to Lease terms.

13.13 No Merger

Lease survives any transfer of Landlord's interest.

13.14 Time of Essence

Time is of the essence for all dates and deadlines.

SIGNATURES

LANDLORD: CENTRAL OHIO DEVELOPMENT CORPORATION

By: _____

Name: Richard Thompson

Title: President

Date: July 15, 2024

TENANT: SKYLINE STORES

By: _____

Name: Angela Rodriguez

Title: Executive Vice President - Real Estate

Date: July 15, 2024

LIST OF EXHIBITS

Exhibit A-1 - Site Plan Showing Premises Location **Exhibit A-2** - Floor Plan of Premises

Exhibit B - Landlord's Work / Delivery Condition **Exhibit C** - Tenant's Preliminary Plans **Exhibit D** -

Signage Criteria and Locations **Exhibit E** - Form of Estoppel Certificate **Exhibit F** - Memorandum of Lease

for Recording **Exhibit G** - Form of Guaranty **Exhibit H** - Shopping Center Rules and Regulations **Exhibit I**

- Exclusive Use Provisions Detail **Exhibit J** - HVAC Specifications and Service Standards **Exhibit K** - List of

Environmental Reports **Exhibit L** - Construction Coordination Procedures